

somewhat since I've abandoned the purchase of extra coupons, but I still manage to stockpile things my family uses on a regular basis, through the strategic combination of sale prices, clearance prices, and coupon clipping.

Bud Miller has seen it all in regards to coupon fraud, and it goes way beyond a consumer trying to purchase a quart-sized product with the specified gallon-sized coupon. Miller's agency has been at the forefront of some of the biggest coupon-fraud sting operations in history.

Let's back up a bit and distinguish the difference between coupon fraud and coupon misredemption. According to CPGMatters.com, *fraud* is the broadest term, encompassing mis/malredemption and counterfeiting. Misredemption can include activities like a retailer mailing bogus coupons with authentic ones when submitting them, or falsifying an invoice. Malredemption can occur when a consumer purposely misuses the terms of an offer by not purchasing the specifically promoted brand.

For the purpose of this chapter, I look at coupon fraud as a multi-million dollar criminal activity and an intentional illegal practice that includes counterfeiting, wholesale trading or brokering, and submissions from a non-existent retail operation. Misredemption, or malredemption, would then include the intentional violation of coupon policies, such as retailers accepting expired coupons and allowing alternate product purchases for customers or a consumer purposely redeeming a coupon with the intention of obtaining a product of a different size than specified on the coupon or even a different product. That would be an intentional misredemption, and one that the majority of my couponing peers would frown upon, but that has actually been encouraged on some message boards.